



PAPER – 3: ADVANCED AUDITING, ASSURANCE AND PROFESSIONAL ETHICS

PART – I : ACADEMIC UPDATE

**(Legislative Amendments / Notifications / Circulars / Rules / Guidelines
issued by Regulating Authority)**

Chapter 14 - Unit 2 - Special Features of Audit of Non-Banking Financial Companies

1. As per the circular DoR.FIN.REC.25/03.10.038/2025-26 dated June 06, 2025, if an NBFC-MFI fails to maintain the criteria specified in following para for four consecutive quarters, it shall approach the Reserve Bank with a remediation plan for taking a view in the matter.

“NBFC-MFI” means a non-deposit taking NBFC which has a minimum of 60 percent of its total assets (netted off by intangible assets), on an ongoing basis, deployed towards “microfinance loans” as defined under Reserve Bank of India (Regulatory Framework for Microfinance Loans) Directions, 2022.

2. On page no. 14.92, Tier 1 Capital definition has been amended to include reference of RBI Gold Lending Directions as follows:

Tier I capital - NBFCs primarily engaged in lending against gold jewellery (such loans comprising 50 percent or more of their financial assets) shall maintain a minimum Tier 1 capital of 12 percent of aggregate risk weighted assets of on-balance sheet and of risk adjusted value of off-balance sheet items. The treatment to on-balance and off-balance sheet assets for capital adequacy shall be provided as per the Directions respectively. These NBFCs shall also adhere to provisions of the Directions on treatment of deferred tax assets and deferred tax liabilities

for computation of capital. These NBFCs shall also ensure compliance with the instructions issued vide 'Reserve Bank of India (Lending Against Gold and Silver Collateral) Directions, 2025' dated June 06, 2025 (as amended from time to time), as expeditiously as possible but no later than April 1, 2026.

3. Addition of ROU Assets to Other Assets definition in Weighted risk assets - On-Balance Sheet items table given on page no 14.94
 - (v) Other assets:
 - (d) Others (to be specified) ***including ROU assets***

Chapter 19- Professional Ethics & Liabilities of Auditors

1. On page no. 19.68 amendment in Clause (9) of Part I of First Schedule

Clause (9) accepts an appointment as auditor of a company without first ascertaining from it whether the requirements of Section 225 of the Companies Act, 1956 (1 of 1956), or sections 139 to 141 of the Companies Act, 2013 or any other law pertaining to appointment of auditors for the time being in force, in respect of such appointment have been duly complied with;

2. On page no. 19.109 insertion of Clause (5) in Part II of Second Schedule

Clause (5) acts as an auditor of the company in contravention of the provisions of the Companies Act, 2013.

PART II : Questions and Answers

**QUESTIONS****PART A: Multiple Choice Questions****Integrated Case Scenarios**

Mr. Vivek was appointed as the engagement partner on behalf of Reliant & Co., a Chartered Accountant Firm, to conduct statutory audit assignment of Zenith Components Limited, an unlisted public company engaged in the manufacturing of electrical equipment.

During the audit, CA Meenal, one of the senior engagement team members, was given the responsibility to audit the matters as per requirements of CARO, 2020. Her major observations included:

- One of the buildings owned by Zenith Components Ltd. was revalued during the year based on a valuation report from a registered valuer, increasing the aggregate carrying value of Property, Plant & Equipment (PPE) from ₹ 12.5 crore to ₹ 14.5 crore.
- Zenith Components Ltd. was sanctioned a cash credit limit of ₹ 5.25 crore by Unity Bank based on the security of current assets which was reduced to ₹ 4.95 crore after 6 months. In this connection, the company submitted quarterly stock statements to the bank which were in agreement with the books of accounts.

Meanwhile, Reliant & Co. was also appointed to conduct the audit of a State Housing Department. During the course of audit, Office of the Comptroller & Auditor General of India (C&AG) observed that the prescribed law in the state defined a "flat" based on the following two criteria in a premises:

- Dwelling units exceeding a threshold limit.
- Buildings with a total area surpassing a threshold limit.

However, it was noted that the relevant database did not include a column for entering the area of the building. Consequently, a certain number of buildings were identified as flats even though they had fewer dwelling units than the threshold limit. In the absence of data regarding the area, the audit team directed physical verification of these flats. The physical verification confirmed

that these buildings were incorrectly classified as flats, resulting in the department under collecting water charges.

Further, CA Karan, another partner, was engaged in the audit of EcoTherm Power Ltd., a listed company operating in the thermal energy generation sector. As a part of Business Responsibility and Sustainability Reporting (BRSR), the company disclosed data on its total greenhouse gas emissions from its production outlets during the year and a detailed energy consumption plan which it had devised for the upcoming years.

CA Nisha, an independent Chartered Accountant who had recently completed a Certificate Course on Sustainability Reporting, was approached by CA Karan for informal guidance on improving the company's sustainability disclosures. Impressed by her knowledge, CA Karan later recommended her name for the Board of Management of Navlok Co-operative Bank, a Primary (Urban) Co-operative Bank, which was also one of their audit clients. CA Amit, another professional colleague, advised Nisha to refrain from accepting the post as it could amount to professional misconduct.

Based on the above facts, answer the following MCQs:

1. As per the provisions of CARO 2020, what should be the auditor's reporting responsibility with regard to revaluation of Property, Plant and Equipment done by Zenith Components Ltd.?
 - (a) No reporting is required as the revaluation is based on a registered valuer's report.
 - (b) Reporting is required under Clause (i)(d) of Paragraph 3 since the company has revalued its PPE and the amount of change exceeds 10% of the net carrying amount of each class of asset
 - (c) Reporting is required under Clause (i)(c) of Paragraph 3 since the company has revalued its PPE and the amount of change exceeds 10% of the net carrying amount of each class of asset.
 - (d) Reporting is not required under Clause (i)(d) of Paragraph 3 as the amount of change does not exceeds 10% of the net carrying amount of each class of asset.

2. Whether reporting is required under CARO, 2020 in case of sanctioned cash credit limit i.e., working capital limits?
 - (a) Yes, reporting is required under Clause (ii)(b) of Paragraph 3, as the company was sanctioned working capital limits in excess of ₹ 5 crore.
 - (b) No reporting is required under CARO, 2020.
 - (c) No, reporting is not required under Clause (ii)(b) of Paragraph 3, because the working capital limit was later reduced below ₹ 5 crore.
 - (d) Yes, reporting is required under Clause (iii)(a) of Paragraph 3, since the company has been sanctioned working capital limits in excess of ₹ 5 crore.
3. The report of audit of State Housing Department by the C&AG is likely to be submitted to:
 - (a) The Board of the Authority directly.
 - (b) The Governor of State.
 - (c) The Central Government.
 - (d) The Ministry of Housing and Urban Affairs.
4. With respect to EcoTherm Power Ltd., which of the following statements correctly categorizes the sustainability reporting indicators?
 - (a) Both the details of the emission & future energy consumption plans form part of the Essential Indicators and need to be mandatorily disclosed in the BRSR.
 - (b) The details of the emission are a Leadership Indicator and is considered as optional disclosure, whereas the plan for future energy consumption is an Essential Indicator and needs to be mandatorily disclosed in the BRSR.
 - (c) Both the details of the emission & future energy consumption plans form part of the Leadership Indicators and are considered as optional disclosure.

- (d) The details of the emission forms part of the Essential Indicators and need to be mandatorily disclosed. However, the plan for future energy consumption is only a Leadership Indicator and is considered as optional disclosure.
5. Whether CA Nisha would be held guilty of professional misconduct if she accepts the offer to become a member of the Board of Management of Navlok Co-operative Bank (Primary Urban Co-operative Bank)?
- (a) It is permissible for a CA in practice to become a member of the board of management in primary (rural) co-operative banks. Hence, CA Nisha would be held guilty of professional misconduct if he accepts the offer.
- (b) It is permissible for a CA in practice to become a member of the Board of management in primary (urban) co-operative banks. Hence, CA Nisha would not be held guilty of professional misconduct if he accepts the offer.
- (c) Yes. CA Nisha would be held guilty of professional misconduct under Part III (other misconduct in relation to members of the Institute generally) of Second Schedule, as Nisha is getting this offer as a reciprocation for helping Reliant & Co.
- (d) Yes. As per clause 11 of Part I of First Schedule CA Nisha would be held guilty of professional misconduct for engaging in another profession/ occupation without the permission of ICAI.

Independent MCQs

6. During the audit of loan accounts of Worthy Bank for the year ended 31st March 2025, you come across a borrower account of Star Limited with an outstanding loan of ₹ 1.70 crore, which was classified as NPA in December 2024. The borrower made a partial repayment of ₹ 70 lakh in March 2025, however, remaining amount ₹ 1 crore is still overdue. Despite this, the bank has upgraded the account to Standard as of 31st March 2025 in its books. As statutory auditor of Worthy Bank, what should be your observation regarding the classification of this loan account?

- (a) The account is correctly upgraded, as partial repayment of ₹ 70 lakh was received before the balance sheet date.
 - (b) The account can be classified as Standard based on management's judgment of the borrower's repayment capacity.
 - (c) The account should continue to be classified as NPA, since the entire overdue principal and interest were not settled before 31st March 2025.
 - (d) The classification can be adjusted retrospectively if the full repayment is received in April 2025.
7. During the audit of Beta Infrastructure Ltd. for the year 2024–25, auditor CA Ramesh observed that the company had lost significant accounting records including invoices and supporting documents related to purchases and revenue due to fire. He performed additional audit procedures to obtain alternative audit evidence, however, he was unable to obtain sufficient appropriate audit evidence through such procedures. Consequently, he could not obtain adequate audit evidence regarding several material items in the financial statements. The auditor CA. Ramesh should:
 - (a) Express a Qualified Opinion since the records are incomplete.
 - (b) Express an Adverse Opinion as the financial statements are unreliable.
 - (c) Include an Emphasis of Matter paragraph highlighting the system failure while giving an unmodified opinion.
 - (d) Express a Disclaimer of Opinion, as auditor was unable to obtain sufficient appropriate audit evidence relating to material items.
8. EcoSmart Technologies Ltd. is preparing its Integrated Report for the year 2024–25, focusing on its sustainability and ESG initiatives. The report highlights the following:
 - The company has installed solar panels and rainwater harvesting systems at all its manufacturing plants to reduce carbon footprint and conserve water resources.

- It has developed an AI-based production optimisation software that improves operational efficiency, reduces energy consumption, and supports data-driven decision-making.
- Employees are provided with specialised training programs on sustainability practices, renewable energy management and digital technologies to enhance skills and promote a culture of innovation.

Which combination of integrated capitals is primarily represented in the initiatives described above?

- (a) Natural Capital, Intellectual Capital, Human Capital.
- (b) Financial Capital, Manufactured Capital, Social Capital.
- (c) Human Capital, Financial Capital, Manufactured Capital.
- (d) Intellectual Capital, Social Capital, Financial Capital.

PART B: DESCRIPTIVE QUESTIONS

Standards on Auditing, Statements and Guidance Notes

Quality Control

9. RBC & Co., Chartered Accountants, is a large audit firm engaged in audits and assurance services across various sectors. The firm currently maintains audit documentation in both electronic and physical (hard copy) formats. However, during audit it was observed that physical files are neither scanned and incorporated into the electronic files nor cross-referenced with them. As a result, the documentation remains scattered with no integrated or centralised audit file for the engagement. Additionally, several audit working papers lack clarity on whether the information was obtained from the client or prepared internally by the engagement team. This ambiguity raises concerns regarding the reliability and origin of audit evidence. How do you view the above situation from the point of view of quality control system in audit firm? Analyse.

General Auditing Principles and Auditors Responsibilities

10. Camel Manufacturing Ltd. (CML) is engaged in the production of speciality machinery for the automotive industry. The company operates in a competitive market and is under pressure to meet determined revenue and profitability targets to secure additional funding from the investors. The audit firm AJN LLP has been engaged to conduct CML's statutory audit for the financial year 2024-25. AJN LLP performed risk assessment procedures and related activities towards obtaining information in identifying risk of material misstatement due to fraud and also evaluated whether there is an indication that one or more fraud risk factors are present. Analytical procedures reveal unexpected relationships potentially indicating fraudulent activities, such as sales inflation by management to meet earnings targets. Management is inflating sales by entering into sales agreements that include terms that preclude revenue recognition or by invoicing sales before delivery.

Guide AJN LLP to decide on the course of action in determining overall responses to address the assessed risks of material misstatement due to fraud at the (i) Financial Statement Level and (ii) Assertion Level.

Audit Evidence

11. During the statutory audit of Nature Care Ltd., CA Vigilant has planned to attend the physical inventory count of the company. Nature Care Ltd. is engaged in the production of pharmaceutical tablets and capsules catering to domestic and export markets, particularly the Middle East. The manufacturing facility is spread over 15 acres in the Industrial Area, Delhi.

Raw materials such as powders and chemicals are stored in sacks and drums while work-in-progress (WIP) and finished goods are stored in production and warehouse areas. The company produces three major product lines: "HealFast" (domestic), "MediPlus" (domestic), and "GlobalCare" (export).

The process of production involves weighing, blending, granulation, tablet pressing, coating, packaging and quality testing using various automated machines.

The company management has provided a set of instructions for conducting and recording the inventory count:

- Physical inventory counting to be supervised by the warehouse in-charge.
- Counting should not disrupt the routine process of raw material receipt or product dispatch.
- Teams of four members each are to count raw materials, WIP and finished goods.
- Quantities of material in drums to be estimated based on drum capacity.
- Quantities of WIP to be estimated considering overall plant capacity.
- Responsible officer should ensure that all areas have been counted.

Before attending the physical inventory count, evaluate the management's instructions provided to CA Vigilant. Suggest modifications, additions, or deletions to ensure an effective and reliable counting process.

Reporting

12. Opaque Pharmaceuticals Ltd. has outstanding long-term receivables of ₹ 415 crore as on 31st March 2024, arising from pending insurance claims for compensation due to supply chain disruptions caused by regulatory delays and unforeseen production stoppages. Some of these claims are under legal proceedings while others are in the process of negotiation with the insurance companies. Management has disclosed in the notes to accounts that these amounts are considered fully recoverable.

CA Neha, the statutory auditor, has relied solely on management representations regarding the recoverability of these receivables and is considering inclusion of this matter in the "Emphasis of Matter" paragraph of the audit report. Assess whether CA Neha's decision to include this matter in the Emphasis of Matter paragraph is appropriate.

Prospective Financial Information and Other Assurance Services

13. Moksh Ltd. has prepared prospective financial information for an upcoming expansion project. On review, the auditor finds that the basis of certain assumptions is not disclosed, highly uncertain assumptions lack sensitivity analysis and the date of preparation is missing. In addition, a recent change in accounting policy relating to revenue recognition has not been reflected. In this context, what should the auditor consider while assessing the presentation and disclosure of the prospective financial information and its underlying assumptions?

Digital Auditing and Assurance

14. During the audit of Long Ltd., the auditor came across the following instances:
- (i) The finance team relies on a system-generated customer ageing report while reviewing overdue balances of trade receivables.
 - (ii) The payroll module is designed in such a way that the person entering employee attendance cannot approve the salary disbursement thereby enforcing segregation of duties.
 - (iii) The purchase order system of the company does not allow processing of duplicate vendor codes and automatically rejects entries where the vendor GST number is already present.
 - (iv) The ERP system automatically computes depreciation on fixed assets by applying straight-line method based on input values of cost, residual value and useful life.

Identify the type of IT dependency involved in each of the above scenarios.

Group Audits

15. TRP Ltd. is a holding company with three subsidiaries namely T Manufacturing Pvt. Ltd., R Traders Ltd. and P Services Pvt. Ltd. While auditing the consolidated financial statements of TRP Ltd., the auditor observed that although management of all the subsidiaries have provided written representations, no formal written representation has been provided by the management of parent company TRP Ltd.

acknowledging its responsibility for the true and fair presentation of the consolidated financial statements. Furthermore, the auditor could not find any evidence that the management of the parent company has approved the consolidated financial statements. How should the auditor of the parent company deal with this situation?

Special Features of Audit of Banks & Non-Banking Financial Companies

16. Fair Bank has appointed CA Riya as statutory auditor for the financial year 2024–25. During the audit, she observed the following:

- Pending cases with suppliers amounting to ₹ 2.5 crore.
- Disputes with ex-employees regarding retirement benefits with claims of ₹ 1.2 crore.
- Ongoing tax litigation with a potential liability of ₹ 3 crore.

Considering the above, CA Riya is concerned regarding claims not acknowledged as debts. State the audit procedures that CA Riya should perform to verify the 'Claims Not Acknowledged as Debts'.

Overview of Audit of Public Sector Undertakings

17. The Comptroller & Auditor General of India (C&AG) appointed Sharma & Associates, a firm of Chartered Accountants, to conduct performance audit of NAL Ltd., a public sector undertaking of Government of India. The audit was conducted with the objective of examining whether all expenses of the unit were in conformity with public interest and accepted customs. However, audit report submitted by the firm was rejected by C&AG. Whether action of the C&AG is justified?

Due Diligence, Investigation & Forensic Accounting

18. During the course of audit of Limca Ltd., CA Ranjan observed frequent changes in accounting estimates of receivables, delays in providing information requested by management including altered documents. He also noticed discrepancies between the company's records and external party confirmations. These factors made him suspect the possibility of fraud in the entity.

Identify the common indications that may alert an auditor to the existence of fraud considering the given situation. Also, explain the four elements of fraud, often referred to as the "Fraud Diamond."

Sustainable Development Goals (SDG) & Environment, Social and Governance (ESG) Assurance

19. GreenTech Manufacturing Ltd., engaged in production of electronic appliances, has been facing criticism from environmental activists and local communities for its high energy consumption, discharge of untreated industrial waste and dependence on non-renewable resources. Considering the same, the company's management now wants to strengthen its environmental responsibility practices and align them with national and international commitments such as Paris Agreement and National Action Plan on Climate Change.

Identify the principle which is being referred to in this case. Also, state the core elements associated with this principle.

Professional Ethics & Liabilities of Auditors

20. (a) Aditya & Co., a firm of Chartered Accountants in practice has been approached by Skill Development Council of Government of India to conduct an assessment and performance audit of its various training centres across the country. Scope of work of the same includes reviewing the efficiency of operations, utilisation of funds, quality of training imparted and suggesting measures for improvement. In this context, the partners of the firm are concerned about the permissibility of accepting such an engagement. Would accepting this assignment amount to a service prohibited for members in practice under the Chartered Accountants Act, 1949?
- (b) Puran, a practicing Chartered Accountant, uploaded educational videos on accounting and auditing topics on YouTube for the benefit of students and young professionals. In these videos, he introduced himself as a Partner in Puran & Associates, Chartered Accountants and displayed the firm's website address and his contact details in the description of the videos. Comment with reference to the provisions of the Chartered Accountants Act, 1949 and Schedules thereto.